

Best Deal

DEBASHIS CHATTERJEE

CEO & MD, LTIMINDTREE

Revenue from operations	FY23	33,183
	9MFY24	26,624.1
Profit before tax	FY23	5,791.5
	9MFY24	4,600.4
Profit after tax	FY23	4,410.3
	9MFY24	3,484
	FY23 RoE (%)	29.20
	Market Cap	1,64,200.4

- Data is on a consolidated basis; all figures in ₹ crore except RoE; 9MFY24: April-December 2023
- M-cap as of February 23, 2024
- **Source** ACE Equity, BSE

“There is an acknowledgement among clients that LTIMindtree deserves a seat at the table. Our size is such that you cannot ignore us. All the metrics of the combined entity are looking much better”

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CEO & MD, LTIMINDTREE

During the pandemic, both LTI and Mindtree were affected, with Mindtree experiencing a greater impact due to its reliance on the travel and hospitality sectors, which accounted for 17-18% of its revenue. This was a major factor behind the delay in announcing the merger.

“All credit goes to A.M. Naik and SNS [S.N. Subrahmanyam] for envisioning when the two companies

should be brought together. And the vision was that the two companies can come together only when both are performing well in their own ways, rather than trying to time the market,” says Chatterjee, who was the CEO & MD of Mindtree when the merger was announced.

But as mentioned earlier, the two companies were not strangers to each other and had already been working together. “It was very clear that there were quite a few opportunities or deals where you as an individual entity may not get a seat at the table. I have been personally told that ‘you are too small for our size’. And I used to ask, what can I do? Can you bring your sister company also together, create a consortium and bid, they used to say,” says Chatterjee.

During 2019-2020, the two companies formed a consortium and bid, and won quite a few deals; they also put in place a ‘teaming agreement’ for select opportunities. However, the real benefit of the agreement was not securing specific bids but something far more significant. It facilitated the collaboration between the two companies to swiftly implement a merger strategy.

When two entities of a similar size merge, integration can be challenging due to potential cultural or behavioural issues. “For these two companies, because of some of the arrangements we had, we kind of knew how to work with each other. We knew each other’s strengths and weaknesses,” says Chatterjee, pointing out that Naik and SNS always emphasised the “complementary capabilities” of the two companies in their discussions. This was also the second reason for the merger.

“LTI’s strengths were data, cloud, and enterprise apps. Mindtree’s was experience, data, and the cloud. So, there were a lot of complementary capabilities and synergies. That was the rationale. The benefit of the integration was that you could take those capabilities to the client. We had only 10-12 clients where there was an overlap,” explains Chatterjee.

“We knew that the two companies would come together at the right time. We knew that there were synergies in terms of capabilities. We also saw that there is an opportunity in terms of upselling and cross-selling. These three aspects are very critical to understanding how the whole thing happened,” he adds.

Synergies in terms of capabilities and upselling and cross-selling benefits are all fine, but cultural integration can at times be the most challenging aspect of a merger. Fortunately, the two companies successfully navigated this hurdle with a proper strategy in place. “When we decided to merge, it was decided by SNS that there should be a steering committee, but we

④ The merger provides a very good opportunity in terms of upselling and cross-selling

⑤ The combined entity has revenues in excess of \$4 billion, with over 700 clients spread across 30 countries